

Court No. - 9

Case :- WRIT - C No. - 7541 of 2008

Petitioner :- Raj Kumar

Respondent :- Kesco And Others

Petitioner Counsel :- B.C. Rai

Respondent Counsel :- Mridul Tripathi,S.C.

Hon'ble Sanjay Misra,J.

It is informed that Sri Amrit Lal Yadav, Advocate is appearing for the respondents but his name has not been printed in the cause list.

Office is required to print the name of Sri Amrit Lal Yadav as counsel for the respondents when the matter is listed next.

Order Date :- 10.12.2012

Lbm/-

Court No. - 24

Case :- WRIT - C No. - 7541 of 2008

Petitioner :- Raj Kumar

Respondent :- Kesco And Others

Counsel for Petitioner :- B.C. Rai

Counsel for Respondent :- Mridul Tripathi, Amrit Lal Yadav, S.C.

Hon'ble Pradeep Kumar Singh Baghel, J.

List is revised.

No one is present on behalf of the respondents- Power Corporation.

Learned Counsel for the petitioner informs the Court that Sri Suman Yadav is the new Counsel for the Power Corporation.

List this case again after ten days showing the name of Sri Suman Yadav, as counsel for the respondents.

Order Date :- 6.9.2013

SKT/-

Court No. - 24

Case :- WRIT - C No. - 7541 of 2008

Petitioner :- Raj Kumar

Respondent :- Kesco And Others

Counsel for Petitioner :- B.C. Rai

Counsel for Respondent :- Mridul Tripathi, Amrit Lal Yadav, S.C.

Hon'ble Pradeep Kumar Singh Baghel, J.

List is revised.

No one is present for the Power Corporation-respondent nos. 1, 2 and 3.

The matter was adjourned on two previous occasions in absence of Counsel for the Power Corporation i.e. on 10.12.2012 again on 06.09.2013. Name of Sri Suman Yadav is shown in the Cause List.

List this case on 30.09.2013. On the said date some senior officer of Kanpur Electric Supply Company Limited (KESCO) shall remain present in the Court alongwith the records. If on the date fixed this order is not complied with, the Court will take coercive steps for compliance of the order.

A copy of this order be supplied to Sri J.K. Tiwari, learned Standing Counsel for it's communication.

Order Date :- 18.9.2013

DS

Court No. - 24

Case :- WRIT - C No. - 7541 of 2008

Petitioner :- Raj Kumar

Respondent :- Kesco And Others

Counsel for Petitioner :- B.C. Rai

Counsel for Respondent :- Mridul Tripathi, Amrit Lal Yadav, S.C.

Hon'ble Pankaj Naqvi, J.

1. Heard Shri B.C.Rai, learned counsel for the petitioner and Shri Suman Yadav, learned counsel for the respondents.

2. By means of the present petition, the petitioner has sought quashing of the demand notice dated 5.12.2007 and order dated 29.3.2005 by which his appeal, against the order of assessment has been dismissed.

3. Brief facts giving rise to the present petition are that petitioner entered into an agreement with Kanpur Electricity Supply Administration (for short the KESA), a statutory body constituted under the Electricity (Supply) Act of 1948 for supply of electricity to its unit. Pursuant to major power reforms, the State enacted Uttar Pradesh Reforms Act, 1999, w.e.f, 7.7.1999, in terms of which the State Government on 15.1.2000 notified the transfer of KESA to Kanpur Electric Supply Company Limited (for short "the KESCO"). In September, 2004, petitioner requested respondent no.2 for enhancement of its contractual load from 21.206 HP to 41.206 HP, for which the petitioner is alleged to have completed the requisite formalities on 24.9.2004. Thereafter the contracted load was enhanced from 21.206 HP to 41.206 HP. However, officials of

KESCO conducted an inspection of the unit and prepared a check report dated 26.10.2004. The check report indicated that mechanical meter no.224643 GE, the body lead seal and the terminal lead seal were found tampered with. Further the incoming cable was also found disconnected. Thus the petitioner was alleged to have committed theft of electricity. Petitioner was given an option to get the matter compounded as per the norms but the representative of the petitioner declined to avail the said facility, thus the respondents had no option, but to disconnect the power supply of the unit on 26.10.2004 itself. Thereafter a demand based on ex-parte provisional assessment dated 31.10.2004 of Rs.6,59,796/- was raised against the petitioner. The petitioner claims to have deposited the 1/3rd amount of Rs.2,19,932/- on 12.11.2004 and thereafter preferred an appeal. The appeal was heard on 2.3.2005 and the same was rejected on 29.3.2005. It appears that initially the petitioner was not communicated the order dated 29.3.2005 dismissing the appeal and the consequential demand dated 5.12.2007 for a sum of Rs.4,39,863.97, which the petitioner was required to deposit on or before 4.1.2008. Subsequently the respondents informed the petitioner of the factum of the dismissal of appeal. Challenging the order dated 29.3.2005 and the demand notice dated 5.12.2007, the petitioner has filed the present writ petition.

4. Shri B.C. Rai, learned counsel for the petitioner while

placing the entire scheme of the Act and in particular Sections 126,127,174,175 and 185 of the Electricity Act 2003 (for short the "Act of 2003") submits that the respondents neither served upon the petitioner the order of provisional assessment, nor was it given any opportunity to file its objections, on the contrary the respondents straight away passed an order of assessment and the consequential demand. He further submits that the respondents wrongly made the assessment at the rate equal to three times the value of the tariff applicable for the relevant category as provided in the U.P. Electricity Code, 2002 (for short "the code of 2002") when rate to be made applicable in the case of the petitioner's unit was one and half times as provided under Section 126(6) of the "Act of 2003". Elaborating his submissions he finally submits that with the enforcement of Electricity Act, 2003, the rate of tariff in particular in case of "unauthorised use of electricity" would be under Section 126 (6) of the "Act of 2003" as he contends that in view of conjoint reading of Section 174,175 and 185(3) of the "Act of 2003" the provisions of the "Act of 2003" would continue to apply. He submits that U.P. Electricity Reforms Act, 1999 is mentioned at Sl. No.4 of the schedule appended to Section 185 (3) of the Act of 2003. U.P. Electricity Supply Code, 2002, which was framed under U.P. Electricity Reforms Act, 2004, the provisions of the Code of 2002 in so far they are inconsistent with the provisions of the "Act of 2003"

would not apply. Thus the contention is that the Code of 2002 which was framed under the provisions of U.P. Electricity Reforms Act, 1999, which provided the computation of liability at the rate equal to three times the rate of tariff in the relevant category, in case of theft would not be applicable with the enforcement of "Act of 2003" i.e, from 10.6.2003, vide section 126 (6). Shri Rai in support of his submission has placed reliance upon a judgment rendered by learned Single Judge of this Court in C.M.W.P. No.58317 of 2005 Pankaj Kumar vs. Kanpur Electric Supply Company and others decided on 23.9.2005.

5. Shri Suman Yadav, learned counsel for the respondents submits that the petitioner neither raised any grievance with regard to denial of opportunity to file its objections against the order of provisional assessment either before the Assessing Officer or before the appellate committee, the said issue cannot be agitated before this court for the first time. On merits he submits that cases of theft are to be treated differently from that of "unauthorised use of electricity", therefore, the assessment which has been made in the case of the petitioner is thrice the tariff as per the Code of 2002 which does not come in conflict with any provisions of the Act of 2003, thus the order of assessment cannot be faulted on that ground.

6. In order to appreciate the rival contentions it would be apposite to quote the relevant statutory provisions pertaining to assessment as contained in the Act of 2003. Section 126 and 127 of the Act of 2003 are quoted hereunder:-

126. Assessment.- (1) If on an inspection of any place or premises or after inspection of the equipments, gadgets, machines, devices found connected or used, or after inspection of records maintained by any person, the assessing officer comes to the conclusion that such person is indulging in unauthorised use of electricity, he shall provisionally assess to the best of his judgment the electricity charges payable by such person or by any other person benefited by such use.

(2) The order of provisional assessment shall be served upon the person in occupation or possession or in charge of the place or premises in such manner as may be prescribed.

(3) The person, on whom an order has been served under sub-section (2), shall be entitled to file objections, if any, against the provisional assessment before the assessing officer, who shall, after affording a reasonable opportunity of hearing to such person, pass a final order of assessment within thirty days from the date of service of such order of provisional assessment, of the electricity charges payable by such person.

(4) Any person served with the order of provisional assessment may, accept such assessment and deposit the assessed amount with the licensee within seven days of service of such provisional assessment order upon him:

(5) If the assessing officer reaches to the conclusion that unauthorised use of electricity has taken place, the assessment shall be made for the entire period during which such unauthorised use of electricity has taken place and if, however, the period during which such unauthorised use of electricity has taken place cannot be ascertained, such period shall be limited to a period of twelve months immediately preceding the date of inspection.;

(6) The assessment under this section shall be made at a rate equal to twice the tariff applicable for the

relevant category of services specified in sub-section (5).

Explanation : For the purposes of this section,--

(a) "assessing officer" means an officer of a State Government or Board or licensee, as the case may be, designated as such by the State Government;

(b) "unauthorised use of electricity" means the usage of electricity--

(i) by any artificial means; or

(ii) by a means not authorised by the concerned person or authority or licensee;

or (iii) through a tampered meter; or

(iv) for the purpose other than for which the usage of electricity was Authorized ; or

(v) for the premises or areas other than those for which the supply of electricity was authorised.

127. Appeal to appellate authority.- (1) Any person aggrieved by a final order made under section 126 may, within thirty days of the said order, prefer an appeal in such form, verified in such manner and be accompanied by such fee as may be specified by the State Commission, to an appellate authority as may be prescribed.

(2) No appeal against an order of assessment under sub-section (1) shall be entertained unless an amount equal to *[half] of the assessed amount is deposited in cash or by way of bank draft with the licensee and documentary evidence of such deposit has been enclosed along with the appeal.

(3) The appellate authority referred to in sub-section (1) shall dispose of the appeal after hearing the parties and pass appropriate order and send copy of the order to the assessing officer and the appellant.

(4) The order of the appellate authority referred to in sub-section (1) passed under sub-section (3) shall be final.

(5) No appeal shall lie to the appellate authority

referred to in sub-section (1) against the final order made with the consent of the parties.

(6) When a person defaults in making payment of assessed amount, he, in addition to the assessed amount shall be liable to pay, on the expiry of thirty days from the date of order of assessment, an amount of interest at the rate of sixteen per cent. per annum compounded every six months.

7. A perusal of the aforesaid provision indicates that if upon inspection of any premises any unauthorised use of electricity is found, the Assessing Officer shall provisionally assess such person, to the best of his judgment, the electricity charges payable by such person. This order of provisional assessment shall be served upon the person in occupation or in possession or In-charge of the premises. Consequent upon service of this order of provisional assessment, the person would be entitled to file objections, if any against the provisional assessment before the Assessing Officer, who shall after affording a reasonable opportunity of hearing to such person, pass a final order of assessment within thirty days from the date of service of such order of provisional assessment. It would also be open to the person served with the order of provisional assessment to deposit the assessed amount with the licensee within seven days of service of such provisional assessment. In the first instance the provisional assessment in respect of unauthorised use of electricity would relate to the entire period during which such unauthorised use of electricity has taken place, but if he is unable to reckon the said period, such period shall be

limited to a period of twelve months immediately preceding the date of inspection. Sub-Section (6) of Section 126 as it stood at the relevant time provided that assessment under this Section shall be made at a rate equal for one and half times.

8. Considering the first contention raised by the learned counsel for the petitioner that the petitioner was not given any opportunity to file objections as required under law in respect of order of provisional assessment, this court is of the view that as neither such plea was taken in the first instance before the Assessing Officer/Authority nor in the memo of appeal filed by the petitioner, as it involved investigation of facts, thus considering the facts and circumstances of the case, this court is not inclined to entertain this plea for the first time in the writ petition and accordingly the said contention stands rejected.

9. In order to adjudicate as to whether in the case of the unit of the petitioner which was subjected to inspection on 26.10.2004, wherein unauthorised consumption of electricity was detected, what would be the rate of tariff which would be applicable, i.e., whether Clause 6.17.2 of the U.P. Electricity Supply Code, 2002 which provides the consumption to be assessed at thrice the rate per unit of the tariff applicable to the consumer category would be applicable or in terms of Sub Section (6) of Section 126 of the Act of 2003,

the assessment could be at a rate equal to one and half times?

10. Clause 6.17.1 and Clause 6.17.2 of the Code of 2002 relating to billing in case of theft of electricity/tampering of meter, is quoted hereunder:-

Billing in case of Theft of Electricity / Tempering of Meter

6.17.1 In case of theft of electricity the consumer shall be liable to pay a sum towards penalty / compensation to the Licensee as per assessment made, in addition to any other action that may be taken against him under any other law
The units of the electricity consumed shall be assessed in the following manner:

Units Assessed = $L \times F \times D \times H$.

Where L = is the connected load in KW.

H = is the average number of hours per day the supply is made available in the Distribution mains, feeding the consumer.

D = If the number of days for which the theft took place can be ascertained on the basis of satisfactory evidence then actual number of days. In other cases, this factor be taken equivalent to 180.

F = for different types of supply as given below:

(a) For L & F and domestic power consumes $F = 0.30$

(b) For Commercial L & F and power consumers $F = 0.50$

(c) For Small and Medium power consumers(up to 50 kW)
 $F = 0.50$

(d) For large and heavy power consumer
(With load above 50 KW) $F = 0.75$

(e) In case of large and heavy power consumers for the purpose of assessment, the demand for the month shall be taken as contracted demand of the consumer or 75 per cent of the connected load at the time of inspection, which- ever is less.

(f) Categories not covered above $F = 0.50$

6.17.2 The consumption so assessed shall be charged at thrice the rate per unit of the tariff applicable to the consumer category excluding the consumption recorded by the meter that shall be charged at the appropriate tariff rates. The amount billed at this rate (thrice the tariff rate) shall not be taken into consideration for the purpose of computing consumer's liability to pay monthly/annually minimum charges,

wherever applicable.

Sections 174 and 175 of the "Act of 2003" is also reproduced hereunder:

Section 174. (Act to have overriding effect):-Save as otherwise provided in section 173, the provisions of this Act shall have effect notwithstanding anything inconsistent therewith contained in any other law for the time being in force or in any instrument having effect by virtue of any law other than this Act.

Section 175. (Provisions of this Act to be in addition to and not in derogation of other laws):-The provisions of this Act are in addition to and not in derogation of anyother law for the time being in force.

A conjoint reading of Section 174 and 175 of the Act of 2003 would manifest that the Act of 2003 is to have an overriding effect (except Section 173). Thus the Act of 2003 with its enforcement was to have a supervening effect, irrespective of anything inconsistent being present in any other law for the time being in force or in any instrument. Further the Act of 2003 was an additional law and not in derogation of other laws for time being in force. Section 185 of the Act of 2003 is extracted hereunder:

185. Repeal and saving.- (1) Save as otherwise provided in this Act, the Indian Electricity Act, 1910 (9 of 1910), the Electricity (Supply) Act, 1948 (54 of 1948) and the Electricity Regulatory Commissions Act, 1998 (14 of 1998) are hereby repealed.

(2) Notwithstanding such repeal,--

(a) anything done or any action taken or purported to have been done or taken including any rule, notification, inspection, order or notice made or

issued or any appointment, confirmation or declaration made or any licence, permission, authorisation or exemption granted or any document or instrument executed or any direction given under the repealed laws shall, insofar as it is not inconsistent with the provisions of this Act, be deemed to have been done or taken under the corresponding provisions of this Act;

(b) the provisions contained in sections 12 to 18 of the Indian Electricity Act, 1910 (9 of 1910) and rules made thereunder shall have effect until the rules under sections 67 to 69 of this Act are made;

(c) the Indian Electricity Rules, 1956 made under section 37 of the Indian Electricity Act, 1910 (9 of 1910) as it stood before such repeal shall continue to be in force till the regulations under section 53 of this Act are made.

(d) all rules made under sub-section (1) of section 69 of the Electricity (Supply) Act, 1948 (54 of 1948) shall continue to have effect until such rules are rescinded or modified, as the case may be;

(e) all directives issued, before the commencement of this Act, by a State Government under the enactments specified in the Schedule shall continue to apply for the period for which such directions were issued by the State Government.

(3) The provisions of the enactments specified in the Schedule, not inconsistent with the provisions of this Act, shall apply to the States in which such enactments are applicable.

(4) The Central Government may, as and when considered necessary, by notification, amend the Schedule.

(5) Save as otherwise provided in sub-section (2), the mention of particular matters in that section, shall not be held to prejudice or affect the general application of section 6 of the General Clauses Act, 1897 (10 of 1897), with regard to the effect of repeals.

THE SCHEDULE.
ENACTMENTS
[See sub-section (3) of section 185]

- 1.
- 2.
- 3.

**4. The Uttar Pradesh Electricity Reform Act, 1999
(Uttar Pradesh Act No. 24 of 1999)**

A reading of sub section (3) of Section 185 of the Act of 2003 reveals that the enactments specified in the schedule, which are not inconsistent with the provisions of the Act of 2003 would continue to apply to the states in which such enactments are applicable. At Sl. no.4 of the Schedule the Uttar Pradesh Reforms Act, 1999 (U.P. Act No.24 of 1999) is specified. Although it was submitted by the learned counsel for the petitioner that the Code of 2002 is a law framed in exercise of the powers conferred under U.P. Act No.24 of 1999, but the court has certain reservations to uphold the statutory character of the Code of 2002 as the court could not find any provision in the Code of 2002, from which it could be inferred that it has a statutory sanction under U.P. Act No.24 of 1999. Be that as it may, with the enforcement of Act of 2003, w.e.f. 10.6.2003, the court finds that in so far the rate of tariff is concerned for unauthorized consumption of electricity it would be the one, which is provided under Section 126 (6) of the Act of 2003 as it stood at the relevant time.

11. It is not disputed that the petitioner had been assessed on the basis of thrice the rate of per unit of the tariff as provided under clause 6.17.2 of the code of 2002 which could not be the rate applicable in the case of the petitioner as the case of the petitioner would be covered by sub section (6)

of Section 126 of the “Act of 2003” as it stood at the relevant time thus making the very basis of the assessment vulnerable in law. Same illegality was committed by the appellate authority while dismissing the appeal.

12. The view taken by the court also find support from the judgment of learned Single Judge rendered in the case of Pankaj Kumar (Supra) wherein an identical issue was involved.

13. The writ petition succeeds and is allowed. Impugned orders dated 29.3.2005 and 5.10.2007 are quashed. The matter stands relegated to respondent no.2 – the Assessing Authority who shall re-determine the amount due against the petitioner, in the light of the observations made above and shall consequently issue fresh demand notice, if any, after adjusting the amount deposited by the petitioner.

Order Date :- 30.9.2013
RS